

CHAPTER 2

WHAT GOES UP . . . STAYS UP

It may be that the race is not always to the swift, nor the battle to the strong, but that's the way to bet.

—*Damon Runyon*

SO WHAT IS MOMENTUM? IT is the tendency of investments to persist in their performance. Investments that have done well will continue to do well, while those that have done poorly will continue to do poorly.

CLASSICAL IDEAS

Momentum investing has a long and distinguished history. I will take you through its evolution. The idea of momentum began with Newton's first law of motion: every object in a state of uniform motion tends to remain in that state of motion. It is unlikely Sir Isaac had investing in mind when he came up with this law. If he did, then he should have paid more attention to apples falling from trees and reminded himself that what goes up, must come back down. Newton lost a fortune in the South Seas stock bubble of 1718–1721 by buying too late and holding on too long. Newton afterward